

New Indonesian law could raise labor costs

送信者: EG Southeast Asia Biweekly 受信日時: 2026-10-07 18:35

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Labor law increases worker protection but could impose higher employment costs and reduced workforce flexibility.|||||||

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Indonesia: New law modestly tightens labor market

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Indonesia
By Olga Letticia
Short-term trajectory:
Long-term trajectory:

Prabowo's pro-worker agenda could weigh on his investment push. Parliament passed the new Employment Protection Law on 6 October, creating a standalone framework to replace the labor provisions previously incorporated in the Joko Widodo (Jokowi) era Job Creation Law. The law strengthens worker protections and severance benefits while introducing measures on skills, productivity, and labor-market oversight. It comes as President Prabowo Subianto's approval rating has weakened amid concerns over economic conditions, giving the legislation added political significance as he seeks to support workers while maintaining investment and job creation.

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The law strengthens protections for women, disabled workers, and outsourced employees, while introducing new arrangements for severance reserves and unemployment insurance for workers affected by layoffs. It also bans employers from retaining workers' diplomas and personal documents. The changes should improve job security and household welfare, while increasing employers' obligations around worker protection and layoffs.

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Measures to strengthen professional certification, training, and productivity could enhance labor quality and adaptability over time, while expanded protections for flexible and emerging forms of work could help the workforce adjust to changes in the economy. Official statistics will take on a greater role in measuring decent living standards to inform wage-setting, while labor-market data and enforcement inspections will also be strengthened. The reforms could therefore support productivity and labor-market formalization over time, although the gains will depend on effective implementation.

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The law is likely to have a slight negative effect on investment, particularly in labor-intensive sectors. Higher employment costs and reduced workforce flexibility could make Indonesia less attractive relative to competing manufacturing locations, although supply-chain diversification away from China and measures to improve skills and productivity should limit the effect. Implementation of wage-setting, severance, flexible-work, and outsourcing provisions will be the key watchpoints.

Philippines

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

Vice President Sara Duterte-Carpio faces increased ouster risk. The Senate recently decided to alter the two-thirds threshold required for a guilty verdict in Duterte-Carpio's trial in the upper house, so the threshold calculation excludes nonparticipating senators (for example, those in custody or on medical leave). The Supreme Court then dismissed petitions from backers of Duterte-Carpio seeking to overturn the Senate's decision and reinstate the previous threshold definition (applying to all 24 senators).

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With the threshold now based on the 20 available senators, only 14 votes, instead of 16, will be needed to remove Duterte-Carpio from her post and disqualify her from future public office. Four senators close to the vice president are hiding, in jail, or on medical leave. This number might increase further, as several other senators are facing investigations for plunder (accumulating wealth through corruption) or human rights violations. The chance of garnering 14 guilty votes increased after a Duterte-Carpio-allied senator joined the 13-member majority in voting to adjust the two-thirds threshold computation. Several others are still on the fence.

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The short-term political or policy implications of the vice president's ouster would be limited. But if Duterte-Carpio is found guilty and the decision is not later overturned by the courts, it will effectively prevent her from running in the 2028 presidential election, which she is currently favored to win. In that scenario, the Dutertes would seek to push another family member for the presidency. If the Dutertes return to power, they would recalibrate Manila's geopolitical positioning, tilting toward China.

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The Supreme Court dismissed the petitions as they were filed prematurely; the proper timing is after a verdict has been delivered. This implies the court might consider a similar petition if the vice president is ousted with fewer than 16 guilty votes. Most of the current Supreme Court justices were appointed by former president Rodrigo Duterte, the vice president's father, though that does not necessarily mean they will side with her.

Thailand

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

Government optimistic Bangkok floods receding ahead of IMF Meetings next week. Large parts of Bangkok have been under water in recent days, though the economic impact on Thailand is less severe than the damage caused by floods in 2011. Authorities are confident that the worst has passed, though further heavy rain is forecast this week.

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Mass flooding in Bangkok and disruption at the airport caused concern for officials shortly before Thailand hosts thousands of global finance leaders at the IMF and World Bank Annual Meetings next week. The capital city and airport are now largely back to normal, though further heavy rains risk more flooding. The recent episode exposes the lack of progress in improving water management and drainage systems in Thailand despite various governments over the years claiming to make investment in related infrastructure a priority.

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The economic impact of the recent floods will likely be limited, despite reports of some factories briefly closing; there has been far less disruption to the manufacturing sector than was the case in 2011. The government is rolling out more support measures for affected households and launched a new publicly funded natural disaster insurance scheme (this will only apply to natural disasters declared after 1 October 2026 and for a 12-month period).

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Prime Minister Anutin Charnvirakul has been criticized for a slow response and being overseas when the floods began. He drew further controversy when filmed handing out his own cash to affected households; opponents argued this amounted to bribery. But he currently faces limited threat of ouster and enjoys establishment backing—as evidenced by the Constitutional Court’s unsurprising recent dismissal of a case that could have annulled February’s election, won convincingly by Anutin’s Bhumjaithai.

Vietnam

By Melinda Hoe

Short-term trajectory:

Long-term trajectory:

Economic growth remains a higher priority than inflation control. In a meeting with provincial authorities, Prime Minister Le Minh Hung urged officials to make every effort to reach Hanoi’s target of double-digit GDP growth for 2026.

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Vietnam’s economy has grown 9% in the first nine months of the year, after a nearly 10% year-on-year increase in the third quarter. Hung said GDP growth must exceed 12.5% in the fourth quarter for Hanoi to reach its target. Economic output in Vietnam typically rises in the final quarter due to seasonal consumption and because businesses and authorities rush to spend the remaining annual budgets. That trend suggests Vietnam still has a chance to reach its growth target.

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Inflation remains a watchpoint. Consumer prices rose an average of 4.5% in the first nine months, matching the target approved by the National Assembly. That said, both the Ministry of Finance and the State Bank of Vietnam have raised the full-year inflation forecast to 4.5%-5.5%, mainly due to high energy and food prices, as well as housing costs.

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Hanoi will probably tolerate higher inflation if the economy hits double-digit growth. At the same time, authorities will continue trying to contain price pressures without slowing the economy. For instance, in line with expectations, Vietnam extended the temporary suspension of several fuel-related taxes to the end of 2026 after the measures had been due to expire on 30 September.

Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

Budget for next year will likely mark slowing fiscal consolidation. Prime Minister Anwar Ibrahim will present the 2027 budget in parliament on 9 October.

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The upcoming Melaka state election on 14 November and general elections expected late next year will shape the budget's priorities. To avoid public backlash, the government will likely steer clear of major new taxes, subsidy reforms, and spending cuts—measures that have featured in recent budgets.

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Higher public spending is likely as Anwar seeks to boost his standing, with expected measures including sustained fuel subsidies, larger cash handouts, targeted income tax relief, support for small businesses and gig workers, and salary increases for armed forces personnel. A minimum wage hike is also possible, although it could initially apply only to large companies. The budget will also likely offer incentives for AI, digitalization, and energy transition.

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These measures would slow fiscal consolidation. Still, analysts widely expect the deficit, which narrowed from 5.6% of GDP when Anwar took office in 2022 to 3.7% last year, to remain broadly unchanged or decline slightly this year, followed by a modest reduction in 2027. The expected resilience in GDP growth, supported by strong demand for tech exports and substantial investment in digital infrastructure, should help stabilize the deficit despite the expected increase in spending.

Charting ASEAN

President Donald Trump is reportedly planning to attend the ASEAN Summit in Manila in November, although his participation has not been officially confirmed. A second consecutive appearance would underscore Washington's growing engagement with Southeast Asia as trade ties deepen. The US accounted for about 18% of ASEAN's total exports in the second quarter of 2026, up from around 15% in early 2021, while China's share has fallen to around 14% (see: ASEAN struggling to reduce export dependency on US , 5 October 2026). Trump's attendance would put tariffs, market access, and investment at the center of discussions as ASEAN economies seek to manage growing exposure to US trade policy.

Event calendar

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